BUSINESS GUIDE

ERP Is Changing the Face of the Pet Product Manufacturing Industry

ORACLE NETSUITE + Myers-Holum

Grab a seat and enjoy.
Read Time: 4 minutes

ERP Is Changing the Face of the Pet Product Manufacturing Industry

By combining a leading cloud ERP platform with industry-built customizations, pet product manufacturers are eliminating manual processes, saving money and using real-time reporting for better decision-making.

The pet supply industry is booming in the US. In 2021, pet owners spent $103.6 billion for food, treats and supplies, with pet food comprising the biggest portion. In 2022, pet food sales are expected to increase by 5.8% thanks to the average $329 million to $442 million that owners spend on it annually.[1]

As the pet food industry expands, the way owners buy products is also changing. During the global COVID-19 pandemic, for example, online pet food purchases and subscription signups reached all-time highs, with ecommerce gaining ground over more traditional in-store purchases. The trend is expected to continue in the years to come.

The industry's rapid uptick and shift to ecommerce presents new challenges for pet food manufacturers, who are also managing external issues like ongoing supply chain disruptions and persistent labor shortages. To address these issues, many of them are reviewing their aging, legacy business systems and looking for unified cloud-based technology platforms that support better operational agility and efficiency.

In this business guide, we look at the challenges and opportunities that online native pet supplies companies are facing right now, and explain how a leading cloud ERP system supported by industry-specific customizations can help companies save time and money, gain access to accurate reporting and improve their supplier and customer relationships.

[1] https://petkeen.com/pet-food-industry-statistics-trends/

You Can't Manage High-Growth on Spreadsheets

Operating in a high-growth industry that's shifting to omnichannel, customers expect to pick up where they left off from one channel to another. Pet food manufacturers need robust business systems that support their expanding, multifaceted operations and line up with customer expectations.

Relying on both B2B and direct to consumer (D2C) channels, these manufacturers average anywhere from $50 million to $500 million in annual sales. To run their operations, most use on-premises legacy systems from Sage or Microsoft, basic accounting software like QuickBooks or a proprietary solution. Many of these manufacturers also rely heavily on spreadsheets and manual processes because information cannot be shared across these systems.

This approach presents significant challenges for pet food manufacturers that must balance growing demand for their goods at a time when labor constraints, supply chain issues and shifting consumer habits are creating a "perfect storm" of challenges. Without a unified Enterprise Resource Planning (ERP) platform in place, manufacturers lack real-time data that supports good inventory management, forecasting and supply chain planning.

Forced to pore over disparate spreadsheets, companies can quickly find themselves falling behind competitors who have more robust, integrated solutions in place.

For distribution, pet food manufacturers typically work with third-party logistics (3PL) providers to get their products to market. These providers usually have their own technology platforms for tracking shipment data and delivery information. When those systems aren't integrated with the manufacturer's own legacy solutions, basic functions like managing inventory and pinpointing delivery times require phone calls, emails and other manual checkpoints.

The challenges don't end there. End-to-end supply chain visibility translates into better performance and customer service. Pet food manufacturers relying on outdated systems lack the tools needed to improve their operational performance and profitability.

"We recently worked with a pet food manufacturer that was storing data on spreadsheets and using pivot tables to understand specific performance data metrics," said Dominic Ryba, Delivery Manager at Myers-Holum, Inc., a NetSuite Alliance Partner. "Then, that information was used to drive decision-making at a leadership level."

Another pet food manufacturer that has partnered with Myers-Holum to implement NetSuite was creating journal entries for each individual sales order and then using those entries to adjust the cost of goods sold (COGS) in QuickBooks. This was a time-consuming process that required a great deal of manual effort.

"As the manufacturer's business expanded, its efforts to maintain operational effectiveness and reporting accuracy significantly increased alongside its company growth," Ryba explained. "In the end, the company's decision to implement NetSuite was based on increasing employee frustrations, incorrect data analytics and overall productivity issues that it was trying to manage with its aging, disparate systems."

Minding the Details

Any company that's making or marketing pet food must follow guidelines similar to that of human food, with units of measure being one of several standards that companies must adhere to and use in their operations. For pet foods, net contents are generally expressed in terms of weight or count for dry products and fluid measures for liquids. When manufacturing these products, companies must incorporate the correct units of measure into all work orders and provide that information to suppliers and customers.

"There are many data elements that manufacturers use when it comes to ordering, building and selling," said Ryba. "Most companies that manufacture dog food need to use multiple units of measure interchangeably depending on the vendor, the customer and the item type. For example, a company could procure a product in either pounds, cases or packs depending on an vendor's procuring system. Each vendor can sell the same item in different units of measure. This means the manufacturer winds up with more and more one-offs based on those vendor-specific needs. The more variables there are, the more administrative time is required to maintain integrity across those business relationships."

To help its customers solve these and other challenges, Myers-Holum provides a broad range of bundled customizations that enhance NetSuite's native functionality. The partner also uses a specific project implementation methodology that includes a full discovery phase: understanding the customer's current state, pain points and goals, followed by building out, testing and validation of the ERP solution.

"It's a fairly in-depth process and something we use for all of our large-scale implementation processes," said Ryba. "Myers-Holum has also developed a similar implementation methodology geared more toward smaller projects that may not require a lengthy, in-depth approach."

Tools for Success

Some of the customizations that Myers-Holum has built out for pet food manufacturers include (but aren't limited to):

- Expedited purchase orders. Pet food manufacturers often need a solution that provides visibility into the purchase orders (POs) that have been given a priority or expedited status. To accommodate this requirement, Myers-Holum created a customization that customers can run at any time to give them clear visibility into the list of expedited POs.
- Shipper box modifications. In some situations, pet food manufacturers have logos or packing materials that they want to use up before moving over to new designs or materials. The same applies to recipes where a new name or formula may be introduced, but the manufacturer wants to sell its current stock first. Myers-Holum created a PO process to address this.

- Item specific unit conversion tables. Pet food manufacturers use multiple units of measure with different vendors. To help coordinate across these vendors, Myers-Holum provided customizations for easy conversion of the units of measurement (UoM) during the procurement process.
- Three-way match for partial shipments. Extending NetSuite's native three-way match capabilities, which center on single-item receipts, Myers-Holum built a customization for quantity matching a PO against multiple invoices and item receipts.
- Automatic customer invoice upon shipment. For pet food manufacturing companies whose customers often pay a deposit upfront when ordering, Myers-Holum developed a customization that allows users to easily check if the invoice matches up to the deposit amount and the customer is invoiced for the balance due.
- Inventory adjustment approval. The inventory adjustment customization allows companies to automate inventory management between multiple 3PLs and their source ERP system, ultimately preventing inventory adjustment errors and improving accountability.

Data Is the New Oil

Myers-Holum helps pet food manufacturers get the most out of their ERP systems with a bundle of software customizations built with them in mind. By replacing their legacy software solutions and spreadsheets with NetSuite, companies immediately begin to save both time and money that were once spent trying to gain visibility and generate performance reports across various systems.

NetSuite also automates previously manual functions, reduces errors and gives leaders the real-time data they need for improved decision-making.

> "NetSuite ensures that the source data is passing back and forth correctly across multiple parties, while our customizations further improve accountability and quality control in the manufacturer's end-to-end supply chain."
>
> **Dominic Ryba, Delivery Manager, Myers-Holum, Inc.**

For any pet food manufacturer whose financial management system isn't providing a competitive edge in the marketplace, or whose manual processes are throttling day-to-day operational performance, it's time to think about a cloud-based ERP supported by an implementation partner that understands the pet food manufacturing industry. "Data is everything and a good ERP serves is its backbone," Ryba said. "Any company still trying to manage data on spreadsheets and siloed legacy systems is probably already falling behind the rest of the pack."

ORACLE
NETSUITE

www.netsuite.com

Infonetsuite_WW@oracle.com

877-638-7848

Copyright © 2022, Oracle and/or its affiliates. This document is provided for information purposes only, and the contents hereof are subject to change without notice. This document is not warranted to be error-free, nor subject to any other warranties or conditions, whether expressed orally or implied in law, including implied warranties and conditions of merchantability or fitness for a particular purpose. We specifically disclaim any liability with respect to this document, and no contractual obligations are formed either directly or indirectly by this document. This document may not be reproduced or transmitted in any form or by any means, electronic or mechanical, for any purpose, without our prior written permission. Oracle, Java, and MySQL are registered trademarks of Oracle and/or its affiliates. Other names may be trademarks of their respective owners.